



A PLAIN-ENGLISH GUIDE

The Hidden Dollar **How Money Is Really Made** **Outside America's Borders**

*From offshore dollars and stablecoins to the crash of 2008 — and why a
fixed global money might change everything*

Written for the curious non-specialist

An explainer essay

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1 Scope of this essay

What this essay covers — and what it assumes

This essay explains how US dollars are created and used *outside* the United States — a sprawling, largely invisible system that most people never learn about, even though it shapes their mortgage rates, their job security, and the value of the money in their pocket.

It assumes **no background in finance or economics**. Every technical idea is introduced from scratch and illustrated with a simple story using invented companies and countries, so you can follow the mechanics without needing to know any jargon in advance.

We will travel from the plumbing of international banking, through the rise of digital "stablecoins," into the financial crisis of 2008 and its long aftermath, and finally to a provocative question: could a fixed, neutral global money — Bitcoin — fix the deep flaws this journey reveals? The final section presents that case as its proponents make it, and notes the counterarguments too.

2 Introduction: the money you've never seen

Most of us picture money as a fixed pile of physical things — notes in a wallet, coins in a jar, a number in a bank account that represents "real" cash sitting in a vault somewhere. It feels solid. It feels counted.

The reality is stranger. The vast majority of the world's dollars are not physical at all. They are not printed by the US government, do not sit in any vault, and are not even created inside the United States. They are conjured into existence as **book-entries** — numbers typed into accounts — by private banks scattered across London, Singapore, the Caribbean and beyond. These are called **offshore dollars**, or sometimes **eurodollars** (a historical name that has nothing to do with the euro currency).

Understanding this hidden layer of money is the key that unlocks a series of puzzles: why a housing problem in America in 2007 could freeze banks in Tokyo and Frankfurt; why central banks sometimes seem powerless; why the rich got richer after the 2008 crash while ordinary wages stagnated; and why a growing number of people believe the entire system rests on a foundation of confidence that could crack at any time. Let's build the picture piece by piece.

3 The offshore dollar system: dollars made abroad

An **offshore dollar** is simply a US-dollar deposit held at a bank located *outside* the United States. The dollars are real claims — you can spend them, lend them, demand them back — but the bank holding them

sits beyond the direct reach of America's main financial regulator, the Federal Reserve. That single fact, being outside the usual rulebook, is what allowed this market to grow into one of the largest pools of money on Earth.

Why would dollars end up abroad in the first place?

Two historical reasons got it started in the 1950s and 60s. First, the Soviet Union earned dollars from selling commodities but did not want to hold them in American banks, where the US government could potentially freeze them — so it parked them in Europe instead. Second, US rules at the time capped how much interest American banks could pay on deposits, so banks abroad, free of that cap, could offer savers a better rate. Dollars flowed out to chase it. Once the market existed, it kept growing because it was useful: global trade is largely priced in dollars, so businesses everywhere need dollar accounts, and it is often more convenient to hold them nearby than in New York.

SCENARIO — THE OIL MONEY

Imagine a country called **Ruritania**, which exports oil. Its state oil company sells a tanker of crude to a refinery in Japan and is paid **\$10 million**. Rather than keep that money in a US bank, the oil company deposits it with **Banco do Sul**, a bank in the fictional offshore hub of **Port Sabina**, where it earns a slightly better return.

No physical cash crosses any ocean. What actually happens is a bookkeeping update: Banco do Sul now records that it *owes* Ruritania's oil company \$10 million (a liability), backed by a \$10 million balance it holds at a partner bank in New York (an asset). That New York balance is the only place actual, Federal-Reserve-connected dollars exist. Everything else is a promise.

This distinction — between the small amount of **real settlement money** in New York and the much larger web of **promises** built on top of it — is the heart of everything that follows. Keep it in mind as we watch those promises multiply.

4 How the magic trick works: making money from nothing

Here is the part that surprises almost everyone the first time they see it: **banks create new money when they make loans**. They do not lend out money that savers deposited; they create a brand-new deposit out of thin air, as a book-entry. Let's watch it happen.

SCENARIO — THE LOAN THAT MULTIPLIES

Banco do Sul is holding that \$10 million deposit. A clothing manufacturer in another country, **Eastlandia Textile Co**, needs \$9 million of dollars to buy cotton. Banco do Sul "lends" it the money — but it does not hand over a sack of cash. It simply types **+\$9 million** into Eastlandia's account.

At this instant, a brand-new \$9 million exists that did not exist a moment before. Crucially, **Ruritania's original \$10 million claim has not been reduced at all** — the oil company still believes it has its full \$10 million. So now two parties between them believe they hold \$19 million in spendable dollars, where a moment ago there was only \$10 million.

"But where did the real money go?"

A natural question: after lending \$9 million, how much does Banco do Sul actually have left? The answer reveals the fragility. When Eastlandia *spends* its new \$9 million — paying a cotton supplier, who banks the money at **Pacifica Bank** in Singapore — that payment is real and must settle. So Banco do Sul has to wire \$9 million of its precious New York balance over to Pacifica's bank. Its books now look like this:

Banco do Sul	Before the loan	After the loan
Owes Ruritania (a promise)	\$10m	\$10m (<i>unchanged</i>)
Real cash in New York	\$10m	\$1m (most wired away)
Loan owed by Eastlandia (an IOU)	\$0	\$9m

The books still balance (\$1m cash + \$9m loan = \$10m). But notice the danger: Banco do Sul **owes \$10 million on demand**, yet has only **\$1 million** of real cash it could hand over immediately. The rest is locked up in a loan that takes time to recover. If Ruritania ever asked for all its money back at once, the bank could not pay. This gap — between what a bank owes instantly and what it actually holds in liquid cash — is the permanent vulnerability of all modern banking. Offshore banks simply run with a thinner safety margin, because no central bank forces them to keep more in reserve.

*The trick that produces more dollars is this: **a loan creates a new claim without destroying the old one**. The same finite pool of real settlement cash now sits underneath an ever-growing stack of "I am owed dollars." And it does not stop at one loop — Pacifica Bank can now lend out most of its new deposit too, spawning yet another claim. The original \$10 million can quietly become \$19 million, \$27 million, and beyond, across the banking system. The cash never grew; only the promises did.*

The whole structure works perfectly — as long as everyone does not ask for their cash on the same day. Banks bet, correctly almost all the time, that only a fraction of depositors want their money at once. When

that bet fails, you discover how little of the "money" was ever real. We will see exactly that happen in Section 7.

5 Stablecoins: the new digital dollar

In recent years a new kind of dollar has appeared: the **stablecoin**. A stablecoin is a digital token that lives on a blockchain (the same kind of technology behind Bitcoin) and is designed to always be worth exactly one US dollar. You can send it from a phone to anyone in the world in seconds, without a bank. By early 2026 these tokens had grown to roughly **\$230 billion** in circulation.

How they are different from offshore dollars

The crucial difference is that a well-regulated stablecoin **does not multiply**. Under the US rules that now govern them, the company issuing a stablecoin must hold one real dollar of safe assets — cash or short-term US government debt — for every single token it creates. And it is **forbidden from lending those reserves out** the way a bank does. So the multiplying loop from Section 4 simply cannot start.

SCENARIO — NADIA'S REMITTANCE

Nadia lives in **Valdoria**, a country whose local currency is rapidly losing value to inflation. Her cousin **Tomas**, working abroad, wants to send her \$500. The local banks are slow, expensive, and hemmed in by currency controls. So instead Tomas sends \$500 to a stablecoin issuer, **MintCoin Inc**, which creates 500 digital "USDM" tokens and sends them straight to Nadia's phone in seconds.

MintCoin does not lend Nadia's \$500 to anyone. By law it must lock that \$500 away in cash and short-term US government bonds — a transparent, audited "locked box" backing every token one-for-one. Nadia now holds a stable digital dollar she can spend or save, having never touched a bank. One dollar went in; one dollar of tokens came out. Nothing multiplied.

Stablecoins therefore extend the *reach* of the dollar — putting a dollar account in the pocket of anyone with a smartphone, especially in countries with weak currencies — while being, in principle, far more transparent and tightly backed than the freewheeling offshore banks. They are, in a sense, a tamer cousin: same goal of "a dollar held outside the US system," but built on a locked box rather than a tower of loans.

They are not risk-free, though. Because issuers hold so much government debt, a sudden panic where everyone redeems at once would force a fire-sale of those bonds, jolting the very markets the dollar system depends on. The fragility does not vanish; it changes shape — from the risk of *bad loans* to the risk of a *concentrated rush for the exit*.

6 Good or bad? The two-sided ledger for America

Is this whole offshore machine good or bad for the United States? Honestly, it depends who you ask. Here is the case on both sides, in plain terms.

The case that it's good for America

Cheaper borrowing. All those offshore dollars and stablecoin reserves get parked, in enormous quantities, in US government debt. That is a vast, steady, captive demand from buyers all over the world — which helps keep the interest rate America pays on its national debt lower than it otherwise would be.

Dollar dominance feeds itself. The more the world uses dollars for trade and lending, the harder it is for anyone to switch to an alternative, because everyone else is using dollars too. This gives America what is sometimes called an "exorbitant privilege": it can borrow cheaply and run trade deficits because the world simply needs its money to function.

Geopolitical power. Because nearly all dollar transactions ultimately pass through the US banking system, America can cut a hostile country off from the global economy with sanctions — a uniquely powerful lever no other nation has.

The case that it's bad for America

The Fed loses control. America's central bank sets the rules for domestic banks, but it has little insight into, and no authority over, how many dollars Banco do Sul and a thousand banks like it are creating abroad. A huge part of the money supply is being managed by institutions the Fed cannot see or govern.

America becomes the world's emergency lender. When this offshore system seizes up, only the Federal Reserve can create the dollars to rescue it — so America is forced to backstop a global private banking system it never approved, using its own monetary power, with no guarantee of thanks.

It imports fragility. A giant tower of promises built on a thin base of real cash is, by design, more fragile than it looks. And because the offshore system is wired directly into America's own banks, that fragility cannot be kept at a safe distance. When it breaks abroad, it breaks at home too — as 2008 proved.

7 When it broke: the crash of 2008

The financial crisis of 2008 is what happens when the multiplying loop from Section 4 suddenly runs in reverse. Here is the story, using the same cast of characters.

The setup: borrowing short to bet long

By the mid-2000s, banks like Banco do Sul had found a more profitable use for their offshore dollars than lending to cotton manufacturers: buying bundles of American home loans, packaged up into bonds that paid a steady return. To fund these purchases, they borrowed dollars **short-term** — for just days or weeks

at a time — from other banks, then used the money to buy bonds that would not pay off for decades. This works only so long as two things stay true: the bonds are worth what everyone assumes, and the bank can keep re-borrowing every few weeks, forever.

The trigger and the freeze

From 2007, US house prices began to fall. Suddenly nobody could be sure which mortgage bonds were full of good loans and which were full of loans to people who could never repay — the bundles were too complex to see inside. The banks that had been lending short-term dollars to Banco do Sul got nervous. Not necessarily because they knew it was in trouble, but because they *couldn't tell* — and lending to a bank that might be secretly insolvent is a fine way to never see your money again. So they stopped. Not just to one bank, but to nearly everyone at once.

*This is a bank run — but not the old image of people queuing outside a branch. It is **banks refusing to lend to other banks**. Quieter, faster, and global, because banks everywhere were funded the same fragile way. And remember: Banco do Sul never had a vault of cash. It survived on a constant drip of short-term borrowing. The instant that drip stopped, it owed money it had no way to pay.*

The spiral and the rescue

Unable to borrow, desperate banks tried to sell their mortgage bonds to raise cash — but everyone was selling at once, so prices collapsed, which made the bonds look even more toxic, which made lenders even more frightened. A doom loop. In September 2008 the Wall Street bank Lehman Brothers ran out of options and collapsed, turning fear into outright panic. Within days a giant insurer needed an emergency rescue, and a "safe" money fund could no longer guarantee people's cash back — something thought impossible.

Because all this borrowing was in **dollars**, foreign central banks could not fix it; the European Central Bank can create euros, but not dollars. Only the US Federal Reserve can create dollars. So the Fed opened "swap lines," effectively lending dollars to foreign central banks so they could pass them on to banks like Banco do Sul. America became the lender of last resort for a global dollar system it had never built or regulated — exactly the burden described in Section 6.

8 The aftermath at home: the uneven recovery

The freeze did not stay among banks. When banks stop trusting each other, they stop lending to *everyone* — including healthy ordinary businesses that simply needed routine short-term loans to make payroll. That market froze too. Companies with no connection to housing suddenly couldn't get the credit they relied on to operate, so they stopped hiring and began laying people off.

The damage to ordinary life was severe: the US lost around **8.7 million jobs**, unemployment roughly doubled from about 5% to 10%, the stock market lost about half its value, and millions of families ended

up owing more on their mortgage than their home was worth. It became the worst downturn since the 1930s — the "Great Recession."

Why the recovery helped the wealthy first

To fight the collapse, the Federal Reserve cut interest rates to nearly zero and then created vast sums of new money to buy government bonds — a policy called "quantitative easing." The intended effect was to push up the price of assets like shares and property, to make people feel wealthier and spend. And it worked. But here is the catch: **that benefit only reaches you if you already own assets.**

What recovered, and how fast	Who it mainly helped
Stock prices — rebounded ~60% in real terms by end of 2010; up ~84% within two years of the bottom	Wealthier households, who own most shares
Home prices — did not even begin recovering until 2012	The middle class, whose wealth is mostly their home
Real wages — essentially flat for years	Everyone who lives on a paycheck

A stock price can leap overnight because investors change their minds. A wage only rises when an employer chooses to pay more — and with millions unemployed and willing to take any job, employers had no reason to. So while the assets of the already-wealthy doubled, the paychecks of everyone else stood still. The typical family's net worth fell a brutal **47%** from 2007 to 2010, wrecked by falling house prices, while the *average* (dragged upward by the rich, whose stock-heavy wealth recovered fastest) fell only about 18%.

*Economists in the Austrian tradition call this the **Cantillon effect**: when new money is created, it does not rain down evenly on everyone. It enters the economy at a specific point — the financial markets — and whoever is closest to that point benefits first and most. Banks and existing asset-owners get the fresh money early, while wages and everyday prices are the last to feel it, if they ever do. The 2008–2014 recovery is one of the clearest real-world demonstrations of this in modern history.*

9 Summary and conclusion

Let us draw the threads together. The dollar you think of as solid and counted is, in the main, neither. The world runs on a towering structure of **dollar promises** — created by private banks abroad through the simple act of making loans — resting on a comparatively tiny base of real settlement cash. This offshore system is enormous, largely invisible, and mostly beyond the control of the very central bank whose currency it deals in.

That structure brings America real benefits: cheap borrowing, global power, and a currency the whole world is locked into using. But it carries an equal and opposite cost. Because it is a tower of confidence rather than a stack of cash, it is inherently fragile; and because it is wired into America's own banks, its fragility cannot be contained abroad. In 2008 the confidence cracked, the promises could not all be honoured at once, and only the Federal Reserve — by creating dollars on a colossal scale — could stop the collapse. The rescue then favoured those who already owned assets, widening the gap between the wealthy and everyone else and seeding a decade of distrust.

The deeper lesson running through every section is this: a money that can be created at will, by banks or by central banks, is a money whose quantity nobody can fully see or control, and whose new units always reach the powerful before the ordinary. Stablecoins tame one version of the problem but inherit another. The question that naturally follows is whether a fundamentally different kind of money could remove the flaw at its root.

10 A different foundation: how Bitcoin could solve these problems

Having seen the flaws — invisible money creation, fragile towers of promises, and the unequal way new money spreads — we can now understand the case its advocates make for **Bitcoin as a global reserve currency**. The argument is not that Bitcoin is a better national currency for buying coffee, but that it could serve as the neutral, fixed *foundation* the whole system currently lacks. The following presents that case as Bitcoin's proponents argue it; reasonable economists dispute several points, and we note the main objections at the end.

The core idea: a money no one can print

Bitcoin's defining feature is a **fixed supply**: there will only ever be 21 million bitcoin, a limit enforced by software and mathematics, not by any government or central bank. No institution can create more to fund a rescue, reward insiders, or inflate away a debt. In the language of this essay, there is no "type a number into the account" button. Advocates argue this directly attacks the root problem: if the base money cannot be expanded at will, the temptation and ability to build an opaque tower of promises on top of it is sharply curtailed.

Solving the "invisible money" problem

Recall that nobody — not even the Fed — can fully measure how many offshore dollars exist, because they are created privately and off the books. Bitcoin is the opposite: every single unit and every transaction is recorded on a **public ledger** that anyone in the world can inspect. The total supply is known exactly, at every moment. A reserve system anchored to such an asset would replace guesswork and hidden leverage with something fully auditable. You could, in principle, verify the foundation yourself rather than trusting that it is there.

Solving the "lender of last resort" trap

America was forced to rescue the world in 2008 because the global system needed dollars that only the Fed could create. A neutral reserve asset that *no single country controls* would change that dynamic. No nation would be on the hook to print the world's emergency money, and no nation would wield the matching power to freeze others out of the system. Proponents argue this removes a dangerous concentration of both *burden* and *power* from one government's hands, putting every participant on equal footing.

Solving the Cantillon effect — money that reaches everyone equally

Perhaps the argument with the most direct human stakes concerns the unequal recovery of Section 8. The Cantillon effect exists because new money enters at one privileged point. If no new base money can be created at all, advocates argue, that mechanism of quiet, structural unfairness disappears at the source. There is no fresh money flowing to asset-owners before it reaches wage-earners, because there is no fresh money. Savings held in a fixed-supply money would not be silently eroded to bail out the institutions closest to the money spigot. In this view, sound money is not merely an economic preference but a matter of fairness — a defence of ordinary savers against a system that has repeatedly rewarded those nearest the printing press.

The honest counterarguments

Intellectual honesty requires noting that this vision is contested. Critics raise serious objections: Bitcoin's price has so far been highly **volatile**, which is an awkward trait for something meant to be a stable foundation. A genuinely fixed money supply can make downturns **harsher**, because there is no ability to ease conditions in an emergency — the very "rescue" power that creates unfairness is also, sometimes, what prevents a recession from becoming a depression. And a system where lost keys mean lost money forever, with no institution to appeal to, demands a level of personal responsibility many people may not want. Whether the cure is better than the disease is precisely the live debate.

The closing thought

What this essay has shown is that today's money is not the solid, counted thing most people imagine, but a vast and clever structure of promises — powerful, useful, and quietly fragile, with a built-in tendency to favour those closest to its creation. Bitcoin's proponents offer a radical alternative: a foundation that cannot be inflated, cannot be hidden, and belongs to no single nation. Whether or not one finds that alternative persuasive, understanding *why* people reach for it requires understanding the hidden dollar system first. That, more than any single answer, has been the purpose of this essay: to make the invisible visible, so that you can judge the foundations for yourself.